Grade 9 EMS – Paper 1 Study Notes

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Paper 1 (November 2026) is 2 hours for 100 marks. It covers Accounting (debtors and creditors), Business studies, and Economics (demand and supply).

Accounting

Assets, owner's equity, liabilities and debit/credit

Every transaction keeps the accounting equation in balance: **Assets = Owner's equity + Liabilities** (A = OE + L).

The three elements

Element	Meaning	Examples (accounts)
Assets	What the business owns or is owed	Bank, Cash, Equipment, Vehicles, Land and buildings, Trading stock, **Debtors control** (customers who owe us)
Owner's equity	The owner's interest in the business	Capital, Drawings, Income, Expenses (profit increases OE; drawings and expenses decrease it)
Liabilities	What the business owes to outsiders	**Creditors control** (suppliers we owe), Loan, Bank overdraft

Debtors = people who bought from us **on credit** and still owe us money (an asset).
Creditors = suppliers we bought from **on credit** and still owe money to (a liability).

Owner's equity accounts in detail

- **Capital** — what the owner puts into the business. Increases OE.
- **Drawings** — what the owner takes out for personal use (money or stock). Decreases OE.
- **Income** — increases OE: Sales, Current income, Rent income, Interest income, Commission income.
- **Expenses** — decrease OE: Cost of sales, Wages, Water and electricity, Telephone, Rent expense, Stationery, Advertising, Bank charges.

Debit and credit rules

Every transaction affects **at least two accounts**: one is debited, one is credited, for the same amount (double entry).

Account type	Increase	Decrease	Normal balance
Assets	Debit	Credit	Debit
Liabilities	Credit	Debit	Credit
Capital	Credit	Debit	Credit
Income	Credit	Debit	Credit
Expenses	Debit	Credit	Debit
Drawings	Debit	Credit	Debit

Memory trick: **assets, expenses and drawings increase on the debit side**; everything else increases on the credit side.

Analysing a transaction

For each transaction, answer: which accounts? debit or credit? effect on A, OE, L?

Transaction	Debit	Credit	A	OE	L
Owner deposits R50 000 as capital	Bank	Capital	+50 000	+50 000	0
Sold goods on credit to D. Smit, R2 000 (cost R1 200)	Debtors control	Sales	+2 000	+2 000	0
…and the cost of those goods	Cost of sales	Trading stock	−1 200	−1 200	0
Bought trading stock on credit from Max Traders, R5 000	Trading stock	Creditors control	+5 000	0	+5 000
Received R1 500 from debtor D. Smit	Bank	Debtors control	+1 500 / −1 500	0	0
Paid creditor Max Traders R3 000	Creditors control	Bank	−3 000	0	−3 000
Paid wages R4 000	Wages	Bank	−4 000	−4 000	0
Owner took R500 cash for personal use	Drawings	Bank	−500	−500	0

A trading business that uses the **perpetual inventory system** records cost of sales every time it sells: sales at selling price, and cost of sales at cost price.

Mark-up: selling price = cost price + mark-up. A 50% mark-up on cost of R1 200 = R600, so selling price = R1 800. To find cost from selling price: cost = selling price × 100 / (100 + mark-up %).

Journals

A journal is a book of first entry: transactions are recorded from **source documents** in date order, then totalled and posted to the ledgers.

Which journal, which document?

Journal	Records	Source document
CRJ – Cash Receipts Journal	All money **received** (cash sales, money from debtors, capital, income)	Receipt (duplicate), cash register roll (CRR)
CPJ – Cash Payments Journal	All money **paid** by cheque or EFT (to creditors, wages, expenses, cash purchases)	Cheque counterfoil, EFT printout
DJ – Debtors Journal	Goods **sold on credit**	Duplicate invoice
DAJ – Debtors Allowances Journal	Goods **returned by debtors** (or discount allowed to them)	Duplicate credit note
CJ – Creditors Journal	Goods or services **bought on credit**	Original invoice (received)
CAJ – Creditors Allowances Journal	Goods **returned to creditors**	Debit note (duplicate) / original credit note received
GJ – General Journal	Transactions that fit nowhere else (e.g. owner takes stock, corrections, bad debts)	Journal voucher

Original vs duplicate: the business keeps the **duplicate** of a document it issues (receipt, sales invoice, credit note) and the **original** of a document it receives (invoice from a supplier).

Columns of each journal

Debtors Journal (DJ) — Doc no. · Day · Debtor · Fol · **Sales** · **Cost of sales**

- Sales column: Debit Debtors control, Credit Sales.
- Cost of sales column: Debit Cost of sales, Credit Trading stock.

Debtors Allowances Journal (DAJ) — Doc no. · Day · Debtor · Fol · **Debtors allowances** · **Cost of sales**

- The opposite of the DJ: Debit Debtors allowances, Credit Debtors control; Debit Trading stock, Credit Cost of sales (the stock comes back).

Creditors Journal (CJ) — Doc no. · Day · Creditor · Fol · **Creditors control** · **Trading stock** · **Equipment** · **Stationery** · **Sundry accounts** (Amount, Fol, Details)

- Credit Creditors control (total); debit each analysis column.

Creditors Allowances Journal (CAJ) — Doc no. · Day · Creditor · Fol · **Creditors control** · **Trading stock** · **Sundry accounts**

- The opposite of the CJ: Debit Creditors control, Credit Trading stock (or the item returned).

Cash Receipts Journal (CRJ) — Doc no. · Day · Details · Fol · **Analysis of receipts** · **Bank** · **Sales** · **Cost of sales** · **Debtors control** · **Sundry accounts**

- Analysis of receipts = each individual amount; Bank = the total deposited that day.
- Money from a debtor goes in the Debtors control column.

Cash Payments Journal (CPJ) — Doc no. · Day · Name of payee · Fol · **Bank** · **Trading stock** · **Creditors control** · **Wages** · **Sundry accounts**

- Payment to a creditor goes in the Creditors control column.

Worked example (March 2026, Lekker Traders, 50% mark-up on cost)

Date	Transaction	Journal	Entry
3 Mar	Sold goods on credit to A. Petersen, R1 500, invoice 101	DJ	Sales R1 500; Cost of sales R1 000
5 Mar	A. Petersen returned goods sold for R300, credit note 21	DAJ	Debtors allowances R300; Cost of sales R200
8 Mar	Bought stock on credit from Bulk Ltd, R4 000, invoice BL55	CJ	Creditors control R4 000; Trading stock R4 000
10 Mar	Returned damaged stock to Bulk Ltd, R400, debit note 7	CAJ	Creditors control R400; Trading stock R400
15 Mar	Received R800 from A. Petersen, receipt 45	CRJ	Analysis R800; Bank R800; Debtors control R800
20 Mar	Paid Bulk Ltd R2 000 by EFT	CPJ	Bank R2 000; Creditors control R2 000

Cost price from a 50% mark-up: R1 500 × 100/150 = R1 000.

Common mistakes

- Cash sales go in the **CRJ**, not the DJ. Cash purchases go in the **CPJ**, not the CJ.
- Forgetting the cost of sales column on sales and returns.
- Putting the debtor's or creditor's **name** in the General Ledger — individual names belong in the subsidiary ledgers only.

Ledgers

The General Ledger holds the **control** totals; the Debtors and Creditors Ledgers hold the **individual** accounts behind those totals. At month-end they must agree.

General Ledger (GL)

- Has a T-account for every asset, liability, owner's equity, income and expense account.
- Divided into **Balance sheet accounts section** (assets, liabilities, capital, drawings) and **Nominal accounts section** (income and expenses).
- Journals are posted to the GL as **monthly totals** (e.g. *Debtors control Dr R12 000, DJ*). Sundry amounts are posted individually.

- Each entry shows: date · **contra account** (the other account affected) · folio (journal it came from, e.g. DJ3) · amount.

Example — Debtors control:

Dr				Cr			
2026 Mar 1	Balance	b/d	5 000	2026 Mar 31	Debtors allowances	DAJ	300
31	Sales	DJ	12 000		Bank	CRJ	8 000
					Balance	c/d	8 700
			17 000				**17 000**
Apr 1	Balance	b/d	8 700				

Debtors Ledger

- One account per debtor (e.g. *A. Petersen*), in **three-column format**: Debit · Credit · Balance.
- Posted **individually and daily** from the DJ (debit), DAJ (credit) and CRJ (credit).
- The balance is a debit balance (they owe us).

Date	Details	Fol	Debit	Credit	Balance
Mar 1	Balance	b/d			1 200
3	Invoice 101	DJ	1 500		2 700
5	Credit note 21	DAJ		300	2 400
15	Receipt 45	CRJ		800	1 600

Creditors Ledger

- One account per creditor (e.g. *Bulk Ltd*), three-column format.
- Posted individually and daily from the CJ (credit), CAJ (debit) and CPJ (debit).
- The balance is a credit balance (we owe them).

Posting rules at a glance

Journal	Debtors / Creditors Ledger	General Ledger (monthly totals)
DJ	Debit each debtor	Dr Debtors control, Cr Sales; Dr Cost of sales, Cr Trading stock

Journal	Debtors / Creditors Ledger	General Ledger (monthly totals)
DAJ	Credit each debtor	Dr Debtors allowances, Cr Debtors control; Dr Trading stock, Cr Cost of sales
CRJ	Credit each debtor who paid	Dr Bank; Cr Debtors control, Sales, sundry
CJ	Credit each creditor	Cr Creditors control; Dr Trading stock, Equipment, etc.
CAJ	Debit each creditor	Dr Creditors control; Cr Trading stock, etc.
CPJ	Debit each creditor paid	Cr Bank; Dr Creditors control, Wages, etc.

Balancing and the lists

- **Balance a T-account:** add the bigger side, write that total on both sides, put the difference as *Balance c/d* on the smaller side, then bring it down as *Balance b/d* on the opposite side on the 1st of the next month.
- **Debtors list:** all individual debtors' balances added up. It must equal the **Debtors control** balance in the GL.
- **Creditors list:** all individual creditors' balances. It must equal the **Creditors control** balance in the GL.
- If they don't agree, look for posting errors: an amount posted to the wrong side, posted twice, left out, or numbers swapped (e.g. 540 written as 450).

Trial balance

A list of all GL account balances at month-end: debit balances in one column, credit balances in the other. If the totals are equal, the double entry is arithmetically correct (it can still contain errors such as posting to the wrong account).

Business studies

Primary, secondary and tertiary sectors

The economy is divided into three sectors according to what businesses do with natural resources. Together they form a chain: raw material → product → service to the consumer.